

Table 5: Factor exposure of trend-following reversal strategies (12, 12) II.

This table reports the factor exposure of the four sub-portfolios decomposed from TSM and RSM strategies, namely realised winner, realised loser, contrarian winner and contrarian loser. Decomposition method of the 4 sub-portfolios can be seen in Figure 1. The regression coefficients are reported in the first row and t-statistics (** $p < 0.01$; * $p < 0.05$; * $p < 0.1$) in the row below. Panel A and B summarise the results of global asset class factor model and value and Momentum Everywhere factor model, respectively. The regressions are conducted with the monthly returns that span the period from January, 1985 to March 2015. The alphas of the realised winner and contrarian loser are strongly significant in the Value and Momentum Everywhere model, whereas they are mostly insignificant in the global asset class model.

TSM				RSM			
Realised Winner	Realised Loser	Contrarian Winner	Contrarian Loser	Realised Winner	Realised Loser	Contrarian Winner	Contrarian Loser
Panel A: Global asset class factors							
Intercept	0.002	-0.005	-0.007	0.006	-0.003	-0.010	0.004
	0.562	-1.452	-2.087**	1.729*	-0.676	-2.605**	1.147
MSCI	0.359	0.385	0.293	0.141	0.354	0.283	0.139
	5.405***	4.807***	3.825***	1.892*	4.412***	3.575***	1.715*
GSCI	0.208	0.234	0.224	0.142	0.182	0.227	0.093
	4.122***	3.842***	3.859***	2.503**	2.990***	3.780***	1.509
BOND	1.962	0.817	0.922	1.711	0.645	1.170	1.694
	7.971***	2.753***	3.255***	6.180***	2.173**	4.000***	5.656***
USDI	-0.131	0.065	-0.146	-0.172	0.126	-0.100	-0.111
	-1.083	0.446	-1.051	-1.266	0.865	-0.700	-0.754
R^2	0.306	0.147	0.155	0.159	0.106	0.153	0.120
Panel B: Value and Momentum Everywhere factors							
Intercept	0.012	0.001	0.004	0.010	0.002	0.003	0.008
	3.950***	0.276	1.123	3.092***	0.705	0.796	2.270**
MSCI	0.478	0.480	0.393	0.279	0.415	0.382	0.253
	7.505***	6.638***	5.639***	3.966***	5.693***	5.235***	3.361***
VAL	-0.882	0.792	-0.763	0.703	0.707	-0.735	0.886
	-3.484***	2.758***	-2.757***	2.515***	2.443***	-2.535***	2.958***
MOM	0.948	-0.957	-1.633	1.573	-0.745	-1.574	1.584
	4.273***	-3.805***	-6.733***	6.423***	-2.937***	-6.201***	6.039***
R^2	0.263	0.199	0.190	0.139	0.148	0.167	0.117